

5-4e The Closing Process

The closing entries for a retail business are similar to those for a service business. The two closing entries for a retail business are as follows:

|                  |                                                                                                                                                                                                                                                                                        |
|------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Closing Entry 1. | Debit each revenue account for its balance, credit each expense account for its balance, and credit the retained earnings account for net income. Debit the retained earnings account for a net loss. Cost of Goods Sold is a temporary account and is closed like an expense account. |
| Closing Entry 2. | Debit the retained earnings account for the balance of the dividends account and credit the dividends account.                                                                                                                                                                         |

The two closing entries for **NetSolutions** are as follows:

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|---------|--|--------------------------------|------------|---------|---------|
| Date    |  | Item                           | Post. Ref. | Debit   | Credit  |
| 20Y8    |  | Closing Entries                |            |         |         |
| Dec. 31 |  | Sales                          | 410        | 708,255 |         |
|         |  | Rent Revenue                   | 610        | 600     |         |
|         |  | Cost of Goods Sold             | 510        |         | 520,305 |
|         |  | Sales Salaries Expense         | 520        |         | 53,430  |
|         |  | Advertising Expense            | 521        |         | 10,860  |
|         |  | Depr. Expense—Store Equipment  | 522        |         | 3,100   |
|         |  | Delivery Expense               | 523        |         | 2,800   |
|         |  | Miscellaneous Selling Expense  | 529        |         | 630     |
|         |  | Office Salaries Expense        | 530        |         | 21,020  |
|         |  | Rent Expense                   | 531        | 8,100   |         |
|         |  | Depr. Expense—Office Equipment | 532        |         | 2,490   |
|         |  | Insurance Expense              | 533        |         | 1,910   |
|         |  | Office Supplies Expense        | 534        |         | 610     |

| Date | Item                            | Post.<br>Ref. | Debit  | Credit |
|------|---------------------------------|---------------|--------|--------|
|      | Misc. Administrative<br>Expense | 539           |        | 760    |
|      | Interest Expense                | 710           |        | 2,440  |
|      | Retained Earnings               | 311           |        | 80,400 |
|      | Retained Earnings               | 311           | 18,000 |        |
|      | Dividends                       | 312           |        | 18,000 |

After the closing entries are posted to the accounts, a post-closing trial balance is prepared. The only accounts that appear on the post-closing trial balance are the asset, contra asset, liability, and stockholders' equity accounts with balances. These are the same accounts that appear on the end-of-period balance sheet. If the two totals of the trial balance columns are not equal, an error has occurred that must be found and corrected. The post-closing trial balance for NetSolutions is shown in [Exhibit 16](#).

### Exhibit 16

#### Post-Closing Trial Balance

| NetSolutions<br>Post-Closing Trial Balance<br>December 31, 20Y8 |                |                   |                    |
|-----------------------------------------------------------------|----------------|-------------------|--------------------|
|                                                                 | Account<br>No. | Debit<br>Balances | Credit<br>Balances |
| Cash                                                            | 110            | 52,650            |                    |
| Accounts Receivable                                             | 112            | 91,080            |                    |
| Inventory                                                       | 115            | 62,150            |                    |
| Estimated Returns Inventory                                     | 116            | 5,300             |                    |
| Office Supplies                                                 | 117            | 480               |                    |
| Prepaid Insurance                                               | 118            | 2,650             |                    |
| Land                                                            | 120            | 20,000            |                    |
| Store Equipment                                                 | 123            | 27,100            |                    |
| Accumulated Depreciation—Store<br>Equipment                     | 124            |                   | 5,700              |
| Office Equipment                                                | 125            | 15,570            |                    |
| Accumulated Depreciation—Office<br>Equipment                    | 126            |                   | 4,720              |
| Accounts Payable                                                | 210            |                   | 12,466             |
| Salaries Payable                                                | 211            |                   | 1,140              |
| Unearned Rent                                                   | 212            |                   | 1,800              |
| Customer Refunds Payable                                        | 213            |                   | 7,954              |
| Estimated Coupons Payable                                       | 214            |                   | 2,000              |
| Notes Payable                                                   | 215            |                   | 25,000             |
| Common Stock                                                    | 310            |                   | 30,000             |
| Retained Earnings                                               | 311            |                   | 186,200            |
|                                                                 |                | <u>276,980</u>    | <u>276,980</u>     |

## Asset Turnover Ratio

The

Objective 5 - Describe and illustrate the use of the asset turnover ratio in evaluating a company's operating performance.

**asset turnover ratio** (A profitability ratio that measures how effectively a business is using its assets to generate sales, computed as sales divided by average total assets.)

measures how effectively a business is using its assets to generate sales. A high ratio indicates an effective use of assets.

The asset turnover ratio is computed as follows:

$$\text{Asset Turnover Ratio} = \frac{\text{Sales}}{\text{Average Total Assets}}$$

The denominator is the average of the total assets at the beginning and end of the year. To illustrate the use of this ratio, the following data (in millions) were taken from recent annual reports of **Dollar Tree, Inc. (DLTR)**:

|                   | Year 2   | Year 1   |
|-------------------|----------|----------|
| Total sales       | \$22,823 | \$22,246 |
| Total assets:     |          |          |
| Beginning of year | 16,333   | 15,702   |
| End of year       | 13,501   | 16,333   |

The asset turnover ratio for each year is as follows:

|                      | Year 2                           | Year 1                           |
|----------------------|----------------------------------|----------------------------------|
| Asset turnover ratio | 1.53                             | 1.39                             |
| Sales                | \$22,823                         | \$22,246                         |
| Average assets       | 14,917                           | 16,018                           |
|                      | $[(\$13,501 + \$16,333) \div 2]$ | $[(\$16,333 + \$15,702) \div 2]$ |
| Asset turnover       | $\$22,823 \div \$14,917$         | $\$22,246 \div \$16,018$         |

Dollar Tree's asset turnover ratio increased from 1.39 in Year 1 to 1.53 in Year 2. Thus, Dollar Tree had a significant increase in the use of its assets to generate sales in Year 2. This increase is likely due to Dollar Tree's reduction of the duplication of assets from its acquisition of Family Dollar Stores several years prior to Year 2.

Using the asset turnover ratio for comparisons to competitors and with industry averages could also be beneficial in interpreting Dollar Tree's use of its assets (see [MAD 5-2](#)).

Make a Decision

### **Asset Turnover Ratio**

**Analyze and compare Amazon.com and Netflix (MAD 5-1) (Continuing company analysis)**

**Analyze Dollar General ( [MAD 5-2](#) )**

**Compare Dollar Tree and Dollar General ( [MAD 5-3](#) )**

**Analyze and compare CSX, Union Pacific, and YRC Worldwide ( [MAD 5-4](#) )**

**Analyze Home Depot ( [MAD 5-5](#) )**

**Analyze and compare Kroger and Tiffany ( [MAD 5-6](#) )**

**Analyze J. C. Penney ( [MAD 5-7](#) )**